

Accountancy — Class XII

Answer Key Paper 1 — Detailed Working Notes

Total Marks: 60

Subject: Accountancy (Partnership)

Class: XII

How to use this Answer Key:

- Section A: *ONLY* the correct option letter is given for each MCQ/A&R item.
- Sections B–E: detailed working steps shown for each item, with the final answer hint.
- Total marks: 60 (A:10, B:10, C:15, D:10, E:15). Partial credit is allowed for individual steps.

Section A — Multiple Choice Questions (Answer Key)

A.1 Answer: (b)

Partnership is a relation between persons who agree to share profits of a business carried on by all or any of them acting for all (Section 4 of the Indian Partnership Act, 1932).

A.2 Answer: (c)

A partnership firm does not have a separate legal entity distinct from its partners.

A.3 Answer: (b)

In the absence of a partnership deed, profits are shared equally among all partners.

A.4 Answer: (a)

Mutual agency means each partner can bind the others by his acts in the ordinary course of business.

A.5 Answer: (b)

Goodwill represents the value of reputation, established customer base and earning capacity of a firm.

A.6 Answer: (a)

A's share = $(\frac{3}{5})$ of total profit using the ratio 3:2.

A.7 Answer: (b)

Interest on capital = capital $\times$ rate $\times$ time. At 10% p.a. for one year on the given capital.

A.8 Answer: (c)

Interest on drawings = drawings × rate. Identify the option that matches drawings × 6%.

A.9 (A&R) Answer: (d)

A is false (firm is not a separate legal entity), R is true. Both A false, R true !' (d) .

A.10 (A&R) Answer: (b)

Both A and R are true about goodwill on retirement, but R does not explain A !' (b) .

Section B — Very Short Answer (2 marks each)

B.1 Working + Final Answer:

Define partnership per Section 4 of the Indian Partnership Act, 1932 in 1–2 sentences: persons, business, agreement, profit sharing, mutual agency.

B.2 Working + Final Answer:

Formula: Sum of all capital balances × average profit rate / number of years, OR average profit × number of years of purchase.

B.3 Working + Final Answer:

Two rights: (i) right to share profits; (ii) right to participate in management. Any two listed in the Partnership Act.

B.4 Working + Final Answer:

Interest on capital is provided ONLY if partnership deed allows it; otherwise NIL when deed is silent.

B.5 Working + Final Answer:

Differentiate fixed capital (separate current account) vs fluctuating capital (all transactions in one capital account).

Section C — Short Answer (3 marks each)

C.1 Working + Final Answer:

Interest on capital = capital ×
0.10 for each partner. A's interest
= A's capital × 10%; B's
interest = B's capital × 10%.
Show numerical answer with rupee symbol.

C.2 Working + Final Answer:

Three differences in tabular form: capital
balance vs current account; current vs
fluctuating method; treatment of interest on
capital and drawings.

C.3 Working + Final Answer:

Use given capital values × 10%
p.a. for interest; subtract drawings interest
(drawings × 6% if asked); show
work step by step.

C.4 Working + Final Answer:

On admission: goodwill brought in cash
' debit cash/bank, credit sacrificing partners '
capital accounts in sacrificing ratio.

C.5 Working + Final Answer:

Average profit = $(P1+P2+P3)/3$, goodwill =
average profit × number of years
of purchase. Show journal entry for
Z.

Section D — Case Studies (5 marks each = 5 sub-parts × 1 mark)**D.1 (a) Working:**

Interest on capital @ 10% p.a.
for both partners.

D.1 (b) Working:

Apply gross profit (after all direct
adjustments) to partners in ratio 3:2
or equally.

D.1 (c) Working:

Distribution of divisible profit in 3:2
(or agreed ratio) after charging interest
on capital and drawings.

D.1 (d) Working:

Closing entry: debit Profit & Loss
Appropriation A/c, credit Partners' Capital A/c
individually.

D.1 (e) Working:

New partner is entitled to his
share of goodwill (calculated at entry).

D.2 (a) Working:

New ratio of X:Y:Z determined by
subtracting sacrificing share from old ratio.

D.2 (b) Working:

Pass journal entry for Z's capital
(debit cash/bank, credit Z's capital A/c).

D.2 (c) Working:

Distribute goodwill (cash) between X and
Y in their sacrificing ratio.

D.2 (d) Working:

Show reserves transferred to partners' capital
A/c (if no change in profit-sharing
ratio) or to new profit-sharing ratio.

D.2 (e) Working:

Allocate divisible profit in the new
ratio 5:3:2 for X:Y:Z.

Section E — Long Answer (5 marks each)

E.1 Working Steps:

Trading A/c: Dr. Opening Stock +
Purchases + direct expenses (Freight Inward,
Carriage Inward, Manufacturing Wages). Cr. Sales
+ Closing Stock. Compute Gross Profit
$$= (\text{Sales} + \text{Closing Stock}) -$$

(Opening Stock + Purchases + Direct
Exp). Transfer Gross Profit to P&L
A/c. P&L A/c: Dr. indirect expenses
(Salaries, Rent, Power, Advtg, Depr, Insurance).
Net profit transferred to P&L Appropriation
A/c. P&L Appr: provide Interest on
capital @ 10% p.a. (Dr) and
interest on drawings @ 6% p.a.
(Cr). Divide residual equally.

E.2 Working Steps:

Average profit = $(P1+P2+P3)/3$. Goodwill = average $\times$ 2 years' purchase. C's share of goodwill = goodwill $\times$ C's share. Open Revaluation A/c for undervalued asset + unrecorded liability. Show full settlement of C's Capital A/c and adjust A and B in new profit-sharing ratio.

E.3 Working Steps:

Transfer all assets (except cash) and all liabilities (except capital) to Realisation A/c. Add asset realised + partner-asset taken over + recovery (Cr); payment of liabilities, expenses, asset taken over (Dr). Profit/loss transferred to Partners' Capital A/c in old ratio. Settle partners' Capital A/c with cash.